ISSUER REVIEW · 6M2026

# Latvenergo

OK

Latvia · Energy utility (hydro and gas CHP generation, distribution and transmission assets, retail supply)

Position OK. 1H profit EUR 144.6m (+7%), rating Baa2 stable[2]. Debt is rising because of large renewable investments: net debt / EBITDA 2.4x (1.5x a year ago), but FFO / net debt of 35% is still above the strategy target of >25%[4].

EBITDA · 6M2026
**284.6** EUR m
▲ 4.7 % vs 6M2025

NET PROFIT · 6M2026
**144.6** EUR m
▲ 6.9 % vs 6M2025

NET DEBT / EBITDA · 6M2026
**2.4** x
▲ 0.9x vs 6M2025

FFO / NET DEBT · 6M2026
**35** %
▼ 22 p. p. vs 6M2025

## Quick summary

- **Profit up:** 1H revenue EUR 941.8m (+11%), EBITDA EUR 284.6m (+5%), net profit EUR 144.6m (135.3m)[5].
- **More generation:** 3,336 GWh of electricity produced versus 2,603 GWh a year ago. In 2025, 66% of electricity came from renewable sources[2,6].
- **Debt rising with investment:** net debt EUR 1,372.1m (843.1m), net debt / EBITDA 2.4x (1.5x). Investments EUR 255.5m in the half year and a record EUR 792.1m in 2025[2,7].
- **Cheap funding:** in June 2026 EUR 300m of 7-year green bonds were issued at a 1.3% yield[8].

### Key facts

ISSUER RATING
Moody's Baa2, stable outlook (affirmed October 2025)[1,2]

ANALYSIS DATE
2026-10-22

NEXT REPORT
9M 2026 interim report - 2026-11-30[3]

COUNTRY
Latvia

### Securities held

**Latvenergo 4.952% 6Y green bond**
LV0000802684 · 4.952% · 2029-02-22
Green bond · no separate rating found

**Latvenergo 2.42% 5Y green bond**
LV0000870129 · 2.42% · 2027-05-05
Green bond · no separate rating found

**Latvenergo 0.5% 7Y green bond**
LV0000802460 · 0.5% · 2028-05-17
Green bond · no separate rating found

**Latvenergo 3.612% 5Y green bond**
XS3227294132 · 3.612% · 2030-11-13
Green bond · no separate rating found

## 01 Instruments held and ISINs

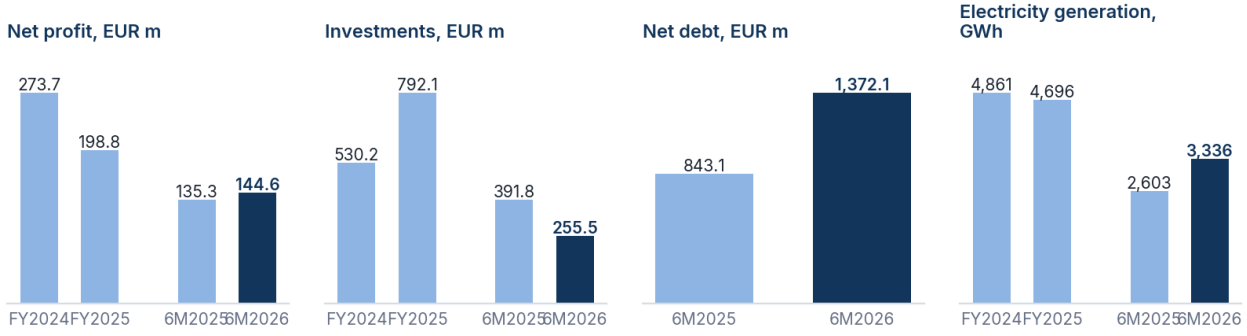
| ISIN | INSTRUMENT | COUPON | MATURITY | ISSUE RATING | NOTE |
|---|---|---|---|---|---|
| LV0000802684 | Latvenergo 4.952% 6Y green bond Green bond | 4.952% | 2029-02-22 | no separate rating found | Green bond; Moody's Baa2; issue date = listing date |
| LV0000870129 | Latvenergo 2.42% 5Y green bond Green bond | 2.42% | 2027-05-05 | no separate rating found | Green bond; Moody's Baa2; issue date = listing date |
| LV0000802460 | Latvenergo 0.5% 7Y green bond Green bond | 0.5% | 2028-05-17 | no separate rating found | Green bond; Moody's Baa2; issue date = listing date |
| XS3227294132 | Latvenergo 3.612% 5Y green bond Green bond | 3.612% | 2030-11-13 | no separate rating found | Green bond; Moody's Baa2 |

## 02 Key ratios

| METRIC | FY2025 | 6M2025 | 6M2026 | CHANGE |
|---|---|---|---|---|
| Revenue, EUR m[7,9] | 1,566.1* | 847.1* | 941.8* | ▲ 11.2 % vs 6M2025 |
| EBITDA, EUR m[2] | – | 271.7* | 284.6* | ▲ 4.7 % vs 6M2025 |
| Net profit, EUR m[1,2] | 198.8* | 135.3* | 144.6* | ▲ 6.9 % vs 6M2025 |
| Investments, EUR m[7,2] | 792.1* | 391.8* | 255.5* | ▼ 34.8 % vs 6M2025 |
| Net debt, EUR m[2] | – | 843.1* | 1,372.1* | ▲ 62.7 % vs 6M2025 |
| Net debt / EBITDA[2] | – | 1.5x* | **2.4x*** | ▲ 0.9x vs 6M2025 |
| FFO / net debt[1,2] | 39%* | 57%* | **35%*** | ▼ 22 p. p. vs 6M2025 |
| ROE[2] | – | 5.2%* | **6.9%*** | ▲ 1.7 p. p. vs 6M2025 |
| Equity, EUR m[2] | – | 2,969.5* | 3,035.9* | ▲ 2.2 % vs 6M2025 |
| Total assets, EUR m[7,2] | 4,967.5* | 4,471.3* | 5,259.6* | ▲ 17.6 % vs 6M2025 |
| Equity ratio[2] | – | 66.4%ᶜ | **57.7%ᶜ** | ▼ 8.7 p. p. vs 6M2025 |
| Electricity generation, GWh[10,2] | 4,696* | 2,603* | 3,336* | ▲ 28.2 % vs 6M2025 |

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).



## 03 Business performance review

- **Renewables build-out:** 937 MW of wind and solar installed at end-June, with an approved 1,144 MW project portfolio; strategy target 600 MW by 2026 and 2,300 MW by 2030[11].
- **2025 generation mix:** hydro 2,882 GWh (61%), gas-fired Riga CHPs 1,587 GWh (34%), wind and solar 209 GWh (shares are own calculation)[12].
- A severe storm on 2026-08-22 caused widespread power outages[8].

## 04 Financials

- **FY2025 revenue EUR 1,566.1m (2024:** 1,703.6m), profit EUR 198.8m (273.7m, −74.8m); FFO / net debt 39%[13].
- Equity EUR 3,035.9m, total assets EUR 5,259.6m, an equity ratio of 57.7% (own calculation); ROE 6.9% (5.2%)[2].
- **Dividends to the state:** EUR 141.0m from 2025 profit approved on 2026-05-27, paid in two EUR 70.5m instalments (June and by 30 November)[14].

## 05 Past plans vs outcomes

| PLAN / TARGET | OUTCOME | WHAT CHANGED AND WHY | STATUS |
|---|---|---|---|
| Strategy 2022-2026: ROE >7%, adjusted FFO / net debt >25%, Moody's rating ≥ Baa3, dividend payout >64% | 6M 2026: ROE 6.9%, FFO / net debt 35%, rating Baa2[15] | Partly: the rating and FFO targets are met; ROE (6.9%) is close to the 7% target[2]. | **Partly** |
| Build or acquire 600 MW of wind and solar by 2026 | 937 MW installed at 2026-06-30[16] | Exceeded[17]. | **Met** |
| 2,300 MW of renewables by 2030; at least 250 MW / 500 MWh of storage by 2030 | Approved project portfolio of 1,144 MW[18,6] | Long-term target, financed with green bonds[8]. | **In progress** |
| Climate-neutral electricity generation by 2040; cut Scope 1 emissions 47% by 2030 (vs 2021) | 2025: −17%[19] | In progress; progress depends on how much the gas plants run[19]. | **In progress** |

## 06 Investor information & conclusions

- **Instruments held:** four green bonds, 2.42% 2027 (EUR 100m), 0.5% 2028 (EUR 50m), 4.952% 2029 (EUR 50m) and 3.612% 2030 (EUR 400m)[20,21,22,23]. Moody's rates the green bonds Baa2[24].
- **Next maturity:** the 2.42% bond on 2027-05-05. The company has funding: it borrowed EUR 300m at 1.3% in June 2026[21,8].
- **State ownership (100%)** and the dividend policy (>64% payout) mean part of the cash goes to the state, but the rating target (≥ Baa3) caps borrowing[25].
- **Conclusion:** the business is profitable, borrowing is growing as planned and credit metrics are above the strategy limits.

## 07 Market and environment

- **Cold weather lifted sales:** revenue +11% to EUR 941.8m on higher gas, power and heat sales in a cold start to the year; EBITDA +5% to EUR 284.6m on new solar and wind output and higher CHP output[17].
- **Power prices:** the Latvian average price was EUR 102.6/MWh (87.3 a year earlier); the Nord Pool system price more than doubled on cold weather, higher demand and low Nordic hydro (22 TWh below the long-term average)[26].
- **Daugava and gas:** Daugava HPP output fell 4% to 1.6 TWh as river inflow was 24% below the long-term average[27]; TTF gas averaged EUR 40/MWh (-7%), EU storage was 38% full (46% a year earlier)[14].
- **Outlook:** new wind and solar parks will be commissioned in 2026-2027, adding about 2.2 TWh of annual generation[28].

| | NOW | 3 MONTHS AGO | 12 MONTHS AGO | 12-MONTH CHANGE |
|---|---|---|---|---|
| ECB deposit facility rate | 2.50% (2026-09) | 2.25% | – | – |
| 3-month Euribor | 2.64% (2026-09) | 2.34% | 2.03% | ▲ 0.61 p. p. |
| 6-month Euribor | 2.92% (2026-09) | 2.60% | 2.10% | ▲ 0.82 p. p. |
| 12-month Euribor | 3.25% (2026-09) | 2.80% | 2.17% | ▲ 1.08 p. p. |
| Euro area AAA government 10-year yield | 3.38% (2026-10) | 3.23% | 2.72% | ▲ 0.66 p. p. |
| Euro area inflation (HICP, annual) | 1.90% (2025-12) | 2.20% | 2.40% | ▼ 0.50 p. p. |

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

## 08 In the press

- **Management:** on 2026-10-05 board member Māris Kuņickis left the company[29].
- **Tet and LMT:** on 2026-10-22 it was reported that Latvenergo is ready to continue cooperating in the buy-out process of Tet and LMT stakes[30].
- **Gas prices:** on 2026-10-14 the company's analyst warned that natural gas has not been this expensive for years[31].

Automatic news scan (Google News, LV), 2026-07-25 – 2026-10-23: 7 articles.

| | | |
|---|---|---|
| 2026-10-05 | MANAGEMENT | "Latvenergo" valdes loceklis Māris Kuņickis atstāj darbu uzņēmumā Jauns.lv |
| 2026-10-22 | OTHER | "Latvenergo" gatava turpināt sadarbību "Tet" un LMT daļu izpirkšanas procesā TVNET |
| 2026-10-21 | OTHER | Vai ziemā pietiks gāzes un kas notiks ar cenām? «Latvenergo» skaidro situāciju pirms apkures sezonas bb.lv |
| 2026-10-14 | OTHER | Latvenergo : Dabasgāzes cenas sasniedz augstāko līmeni gandrīz četru gadu laikā Diena |
| 2026-10-14 | OTHER | Tik dārga gāze nav bijusi gadiem: "Latvenergo" analītiķe brīdina par saspringtu situāciju pirms apkures sezonas Dzentlmenis.lv |
| 2026-10-14 | OTHER | "Latvenergo": tik dārga dabasgāze nav bijusi gadiem ilgi NRA |
| 2026-10-13 | OTHER | "Latvenergo" elektroauto uzlādes tīkla attīstībā sper nākamo soli DELFI |

## 09 ESG report

## EXCLUSIONARY SCREENING (COMPANIES)

- ✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
  - No weapons, tobacco or gambling
  - No coal or oil & gas extraction.
  - The two Riga CHPs run on natural gas (34% of output in 2025)[12].
  - The SEB fossil fuel policy restricts coal and oil & gas extraction, not gas-fired generation[32].

- ✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
  - No UN Global Compact or OECD related controversies found.
  - Significant corruption or ethics breaches in 2024-2025: 0[33].
  - In a 2020 procurement case the anti-corruption bureau KNAB closed the criminal proceedings with no wrongdoing established[34].

- ✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
  - Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-23).

- ✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
  - No adverse news found (search in Latvian and English, 2026-10-22).
  - News summary 2026-07-25 – 2026-10-23: 7 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

*In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.*

**Additional comments:**

## ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

- ✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
  - 66% of electricity from renewable sources[6]
  - S&P Global CSA score 54, in the top 30% of electric utilities worldwide[35]
  - Moody's ESG credit impact score CIS-2[7].
  - All bonds are green[20,21,22,23].

- ✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
  - Target of climate neutrality by 2050 and climate-neutral generation by 2040[36].
  - EU taxonomy-aligned investments 97% (target ≥80%)[37].

- ✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
  - No yellow flags found.
  - Serious accidents and major pollution cases in 2024-2025: 0[38].

- ✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

  **Applicable**
  - The Investments policy[39], the Electricity & Renewable Energy policy[40] and the Fossil Fuels policy for the gas plants[41].

  **Met**
  - Emission reduction targets for 2030 and 2040[19]
  - 2024 emissions across all scopes independently verified[42]
  - ISO 50001 energy management[43]
  - Zero corruption cases and a fraud risk management plan[44]
  - No coal.

  **Could be improved**
  - Absolute Scope 1-3 totals not found in the report text.

**Additional comments:**

## ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: a clear renewable transition strategy and sound ESG practice.

**Additional comments:**

## INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- Generation emission intensity 0.100 t CO2/MWh in 2025 (target 0.06 by 2030)
- Scope 1 emissions –17% vs 2021[19]
- Taxonomy-aligned investments 97%[37]
- Renewable share 66%[19].

**Additional comments:**

**Conclusion:** No exclusions or red flags. Mostly hydro, with fast-growing wind and solar and clear climate targets; the gas plants remain as backup capacity.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Fossil Fuels sector policy (coal, oil & gas, peat); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

## 10 Sources


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2. Latvenergo Group - Interim report 6M 2026 (unaudited), p. 12, 2026-08
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7. Latvenergo Group - Annual report 2025, p. 8, 2026-04-29
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12. Latvenergo Group - Annual report 2025, p. 12-13, 2026-04-29
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28. Latvenergo Group - Interim report 6M 2026 (unaudited), p. 17, 2026-08
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31. NRA – "Latvenergo": tik dārga dabasgāze nav bijusi gadiem ilgi, 2026-10-14
32. SEB Fossil Fuels sector policy (2026-04-23), p. 7-9, 2026-04-23
33. Latvenergo Group - Annual report 2025, p. 29, 2026-04-29
34. jauns.lv / LTV de facto - Latvenergo procurement audit (2020), 2020-10-04
35. Latvenergo Group - Annual report 2025, p. 31, 2026-04-29
36. Latvenergo Group - Annual report 2025, p. 26-27, 2026-04-29
37. Latvenergo Group - Annual report 2025, p. 29-30, 2026-04-29
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